



“The next few years could be favourable for bottom-up stock selection and, hence, thematic investing may not be advisable. Diversified funds would be a better choice”

CHANDRAPRAKASH PADIYAR

SENIOR FUND MANAGER,
TATA ASSET MANAGEMENT



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GAURAV MISRA

HEAD-EQUITY, MIRAE ASSET INVESTMENT
MANAGERS (INDIA)

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Padiyar of Tata Asset Management says, “The banking sector underwent a period of consolidation between 2009 and 2021. Post clean-up, it is sitting on strong balance sheets in terms of provision coverage and return ratios.” Infrastructure funds have gained 7.2% in the past year. The Union Budget 2025-26 reinforced the government’s commitment to infrastructure development. However, a cautious and diligent approach is required to balance risk and reward while capturing growth, he adds.

BEYOND SECTORS

Investors have shifted focus from sectoral funds to large-cap funds. Net inflows surged to ₹21,008 crore in FY25 (till February), com-

pared to an outflow of ₹613 crore in the previous financial year. Meanwhile, mid-cap funds attracted inflows of ₹37,970 crore during April-February, up from ₹22,226 crore in FY24. Small-cap funds, on the other hand, received inflows of ₹37,581 crore against ₹40,189 crore in FY24. Net inflows in large and mid-cap categories jumped 68% to ₹37,590 crore (during April 2024-February 2025) compared to ₹22,415 crore in FY24.

“Continued selling by FPIs has led to a moderation in valuation of large caps compared to their five-year median multiple, whereas mid caps and small caps are still trading at elevated levels. There is a strong case for investing in large caps,” says Viraj Gandhi, CEO of brokerage

firm Samco Mutual Fund.

Another market watcher, Achin Goel, PMS Fund Manager from Bonanza Group, says, “Mid- and small-cap spaces are looking attractive; however, investors should remain cautious and keep largecaps on the radar.”

FLEXI, MULTI, VALUE FUNDS

Inflows into flexi-cap funds rose 180% to ₹43,965 crore in FY25 till February compared with ₹15,502 crore in FY24. In general, flexi-cap funds give investors the liberty to participate in the full spectrum of listed equities—large to micro and across sectors/themes. Misra of Mirae Asset Investment Managers (India) asks investors to be persistent with flexi-cap funds. “Investors should stay with flexicap funds. The flexibility to toggle across market caps and sectors can be used appropriately by the fund manager,” he adds. Multi-cap funds witnessed 72% growth in net inflows at ₹39,529 crore in the ongoing financial year till February 2025 compared with an inflow of ₹22,958 crore in FY24. On the other hand, net inflows in multi-asset allocation funds stood at ₹33,116 crore in FY25.

In general, multi-cap funds, value funds, and multi-asset allocation funds serve distinct needs. Multi cap funds provide diversification across large, mid, and small-cap stocks, offering a balance between stability and growth. Value funds focus on strong companies that may be undervalued. Multi-asset allocation funds add an extra layer of diversification by investing across asset classes. For now, investors should tread with caution and align choices with their risk appetite, investment horizon, and financial goals. **BT**

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